

PROPOSED
SENATE AMENDMENTS TO S.B. 1689
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 6-601, Arizona Revised Statutes, is amended to
3 read:

4 6-601. Definitions

5 In this chapter, unless the context otherwise requires:

6 1. "Actuarial method" means the method of allocating each payment
7 between finance charges and principal pursuant to which the payment is
8 applied first to finance charges computed on the unpaid balance of
9 principal for the time the balance is outstanding, and the remainder of
10 the payment is subtracted from the unpaid principal amount.

11 2. "Amount financed" means the amount of credit extended to a
12 consumer on a consumer loan determined in accordance with the truth in
13 lending act.

14 3. "Annual percentage rate" means the measure of the cost of
15 credit, expressed as a yearly rate, that relates the amount and timing of
16 value received by the consumer to the amount and timing of payments made,
17 determined in accordance with the truth in lending act.

18 4. "Consumer" means an individual who obtains a consumer lender
19 loan for personal, family or household purposes.

20 5. "Consumer lender" means a person that advertises to make or
21 procure, solicits or holds itself out to make or procure, or makes or
22 procures consumer lender loans to consumers in this state.

23 6. "Consumer lender loans" means consumer loans, ~~AND~~ AND consumer
24 revolving loans ~~and home equity revolving loans~~.

25 7. "Consumer loan" means the direct closed end loan of money,
26 whether unsecured or secured by personal or real property, in an amount of
27 ~~\$10,000~~ \$50,000 or less that is subject to a finance charge in which only
28 the principal amount of the loan is considered, and not any finance
29 charges or other fees allowed pursuant to section 6-635, ~~for the purpose~~

1 ~~of determining~~ TO DETERMINE whether the consumer loan is ~~\$10,000~~ \$50,000
2 or less.

3 8. "Consumer loan rate":

4 (a) Means the periodic rate of finance charges that applies to the
5 outstanding principal balance of a consumer loan and that remains
6 unpaid. ~~Consumer loan rate~~

7 (b) Does not include any prepaid finance charges pursuant to
8 section 6-632, subsection E or any fees pursuant to section 6-635.

9 9. "Consumer revolving loan" means an open end revolving loan that
10 is established pursuant to an agreement with an agreed on credit limit
11 that does not exceed ~~\$10,000~~ [\$30,000] [\$50,000], that the consumer may
12 pay in full at any time but has the privilege of paying in installments
13 and that contemplates or provides that advances may be obtained from time
14 to time by the consumer, through checks, drafts, items, credit access
15 devices, orders for the payment of money, evidences of debt or similar
16 means, whether or not negotiable.

17 10. "Educational loan" means any loan or other aid or assistance
18 for the purpose of furthering the education of a consumer or a relative of
19 a consumer at an accredited or approved university, college, community
20 college, junior college, technical, vocational or professional school, or
21 similar institution.

22 11. "Finance charge" means the amount payable by a consumer
23 incident to or as a condition of the extension of a consumer lender loan
24 but does not include other fees allowed pursuant to section 6-635.

25 ~~12. "Home equity revolving loan" means an open end revolving loan~~
26 ~~that is made pursuant to an agreement with an agreed on credit limit that~~
27 ~~is not more than \$10,000, that is secured by the consumer's principal~~
28 ~~residence and that provides that advances may be obtained from time to~~
29 ~~time by the consumer through checks, drafts, items, credit access devices,~~
30 ~~orders for the payment of money, evidences of debt or similar means,~~
31 ~~whether or not negotiable.~~

32 ~~13.~~ 12. "License" means a license issued under the authority of
33 this chapter to make consumer lender loans in accordance with this
34 chapter.

35 ~~14.~~ 13. "Licensee" means a person licensed pursuant to this
36 chapter.

37 ~~15.~~ 14. "Precomputed consumer loan" means a consumer loan that is
38 payable in substantially equal, consecutive monthly installments that are
39 applied to the unpaid balance of the principal and precomputed finance
40 charges combined, subject to provisions for refund or credit in the event
41 of prepayment and for deferral or default charges in the event of deferral
42 or default.

43 ~~16.~~ 15. "Regularly engaged in the business" means either:

44 (a) Advertising to or any other solicitation of a resident of this
45 state that offers a consumer loan and that occurs within this state.

1 (b) Making three or more consumer loans within a calendar year to
2 residents of this state.

3 ~~17.~~ 16. "Truth in lending act" means title I of the consumer
4 credit protection act (15 United States Code sections 1601 through 1666j),
5 as amended, and the regulations promulgated under that act (12 Code of
6 Federal Regulations part 226), as amended.

7 Sec. 2. Section 6-602, Arizona Revised Statutes, is amended to
8 read:

9 6-602. Exemptions

10 A. This chapter does not apply to:

11 1. A person who does business under any other law of this state, or
12 any other state while regulated by a state agency of that other state, or
13 of the United States, relating to banks, savings banks, trust companies,
14 savings and loan associations, profit sharing and pension trusts, credit
15 unions, insurance companies or receiverships if the consumer lender loan
16 transactions are regulated by the other law or are under the jurisdiction
17 of a court.

18 2. A person who is licensed as a pawnbroker pursuant to title 44,
19 chapter 11, article 3 to the extent that the person's activities are
20 governed by that article.

21 3. A person who is not regularly engaged in the business of making
22 consumer lender loans.

23 4. A person who is licensed pursuant to chapter 9 of this title to
24 the extent that the person's activities are governed by that chapter.

25 B. The requirements of this chapter do not apply to:

26 1. Closed end loans of more than ~~\$10,000~~ \$50,000.

27 2. Advances on open end revolving loans that are not secured by the
28 consumer's principal residence with an agreed on credit limit of more than
29 ~~\$10,000~~ [~~\$30,000~~] [\$50,000], regardless of the amount of any advances on
30 these revolving loans.

31 3. Advances on open end revolving loans that are secured by the
32 consumer's principal residence with an agreed on credit limit of more than
33 ~~\$10,000~~ [~~\$30,000~~] [\$50,000], regardless of the amount of any advances on
34 these revolving loans.

35 4. Consumer lender loans that are lawfully made to nonresidents of
36 the state in any other state under and in accordance with a regulatory
37 consumer lender law similar in principle to this chapter.

38 5. Educational loans that are either:

39 (a) Made, insured or guaranteed pursuant to a program authorized by
40 the United States, this state or any other state.

41 (b) Made by a nonprofit organization that is exempt from taxation
42 under section 501(c)(3) of the internal revenue code to students who
43 attend postsecondary educational institutions in this state.

44 C. A consumer loan made pursuant to a consumer lender license is
45 not a secondary motor vehicle finance transaction as defined in section
46 44-281.

1 Sec. 3. Section 6-606, Arizona Revised Statutes, is amended to
2 read:

3 6-606. Business limited to licensed locations; restrictions

4 A. Except as provided in subsection B of this section, a licensee
5 may not conduct the business of making consumer lender loans pursuant to
6 this chapter under any name or at any place of business in this state
7 other than the name and place stated in the licensee's consumer lender
8 license or branch office license.

9 B. Subsection A of this section does not prohibit a licensee from:

10 1. Making consumer lender loans by mail or electronic means.

11 2. On request, making accommodations to consumers at any location
12 requested by the consumer.

13 3. Conducting any administrative, loan servicing or recordkeeping
14 activity at any other location not open to the public, if the deputy
15 director is notified in advance of that activity.

16 4. Closing a consumer lender loan secured by real property at an
17 office of a financial institution, title company, licensed escrow agent,
18 licensed mortgage broker or licensed mortgage banker.

19 5. Giving a consumer an advance on a consumer revolving loan ~~or~~
20 ~~home equity revolving loan~~ from any location.

21 6. Conducting business pursuant to this chapter under an assumed
22 name or a trade name that is submitted to the department pursuant to
23 section 6-117.

24 C. On approval by the deputy director, the licensee may conduct any
25 of the activities listed in subsection B of this section outside of this
26 state.

27 D. A licensee may change the location of its licensed office or
28 licensed branch office by giving written notice to the deputy director,
29 who shall amend the license accordingly.

30 E. All consumer lender loans that are made at the location of a
31 licensed office or branch office are subject to the requirements of
32 article 2 of this chapter, whether made by a licensee, any person
33 otherwise exempt from this chapter pursuant to section 6-602 or any other
34 person.

35 F. A licensee may not conduct the business of making consumer
36 lender loans pursuant to this chapter from within any licensed office or
37 branch office in which any other business not licensed pursuant to this
38 title is solicited or engaged in, or in association or conjunction with
39 any other business not licensed pursuant to this title, without giving
40 prior notice to the deputy director. If it appears to the deputy director
41 that the other business is of such a nature or is being conducted in such
42 a manner as to conceal an evasion of this chapter or is contrary to the
43 public interest or otherwise being conducted in an unlawful manner, the
44 deputy director may act pursuant to section 6-137 to restrict the licensee
45 from conducting its business in conjunction with that other business. For

1 the purposes of this subsection, "public interest" means the laws of this
2 state or of the United States or rules adopted by the deputy director.

3 Sec. 4. Section 6-609, Arizona Revised Statutes, is amended to
4 read:

5 6-609. Reporting rates; change in rates; quarterly report of
6 deputy director

7 A. At the time of making its annual report to the deputy director,
8 each licensee shall report the licensee's standard annual percentage rate
9 or range of annual percentage rates in effect at that time on the
10 following types of loans:

11 1. A \$500 unsecured consumer loan, payable in twelve equal monthly
12 installments.

13 2. A \$2,500 consumer loan secured by a motor vehicle, payable in
14 thirty-six equal monthly installments.

15 3. A \$9,000 consumer loan secured in full by real property, payable
16 in one hundred twenty equal monthly installments.

17 4. A consumer revolving loan with an agreed on credit limit of
18 \$3,000.

19 ~~5. A home equity revolving loan with an agreed on credit limit of~~
20 ~~\$15,000.~~

21 B. The amount of each of the consumer loans described in subsection
22 A of this section refers to the amount financed as computed in accordance
23 with the truth in lending act. ~~The licensee shall also report the range~~
24 ~~of the percentage amount of any prepaid finance charges charged in~~
25 ~~connection with a home equity revolving loan described in subsection A,~~
26 ~~paragraph 5 of this section.~~

27 C. Within thirty days after effectuating a change in the standard
28 rate of charge for any of the types of loans described in subsection A of
29 this section, the licensee shall report that change to the deputy
30 director.

31 D. On at least a quarterly basis the deputy director shall compile
32 a report of the standard annual percentage rate or range of annual
33 percentage rates of each licensee for the types of loans described in
34 subsection A of this section. The deputy director shall disseminate this
35 report in a manner deemed appropriate by the deputy director, and the
36 deputy director shall make the report available to the public for
37 inspection and copying.

38 Sec. 5. Section 6-613, Arizona Revised Statutes, is amended to
39 read:

40 6-613. Restrictions; voidable loans

41 A. Except as the result of an accidental or bona fide error, if the
42 licensee charges, contracts for or receives any amount in excess of the
43 finance charges and other fees permitted by this chapter, the following
44 restrictions apply:

45 1. If the original principal amount of a consumer loan is ~~five~~
46 ~~thousand dollars or less~~ NOT MORE THAN \$5,000, that consumer loan is

1 consumer lender loan, either at the time the payment is made or within ten
2 days after the payment is made, or the licensee may reflect the payment on
3 the periodic statement sent to the consumer for the billing period that
4 includes the date of that payment.

5 E. A licensee shall ~~mail~~ PROVIDE periodic statements for consumer
6 revolving loans ~~and home equity revolving loans~~ to the consumer within
7 fourteen days after the end of each monthly billing cycle period. A
8 billing cycle period is considered monthly if the closing date of the
9 billing cycle period is the same day each month or does not vary by more
10 than four days from that day.

11 F. If the licensee fails to make the disclosure statement
12 prescribed in subsection B of this section, the deputy director shall
13 assess the licensee a one-time CIVIL penalty of ~~up to~~ NOT MORE THAN \$300
14 for ~~every~~ EACH violation.

15 Sec. 7. Section 6-632, Arizona Revised Statutes, is amended to
16 read:

17 6-632. Finance charges

18 A. A licensee may contract for and receive finance charges on
19 consumer loans that are not more than the following amounts:

20 1. On a consumer loan in an original principal amount of ~~three~~
21 ~~thousand dollars or less~~ NOT MORE THAN \$10,000, a consumer loan rate of
22 thirty-six ~~per cent~~ PERCENT.

23 2. On a consumer loan in an original principal amount of more than
24 ~~three thousand dollars~~ \$10,000, either:

25 (a) A consumer loan rate of thirty-six ~~per cent~~ PERCENT on the
26 initial ~~three thousand dollars~~ \$10,000 of the original principal amount,
27 and a consumer loan rate of twenty-four ~~per cent~~ PERCENT on that part of
28 the principal amount ~~greater~~ THAT IS MORE than ~~three thousand dollars~~
29 \$10,000 BUT LESS THAN \$20,000, AND A CONSUMER LOAN RATE OF EIGHTEEN
30 PERCENT ON A CONSUMER LOAN RATE OF MORE THAN \$20,000 BUT LESS THAN
31 \$50,000.

32 (b) The single blended consumer loan rate that results from the
33 total amount of finance charges that the licensee would receive through
34 the scheduled maturity of the consumer loan at the consumer loan rates
35 that otherwise would be applicable pursuant to subdivision (a) of this
36 paragraph to the different portions of the unpaid principal balance,
37 assuming that the consumer loan will be paid according to its agreed
38 terms.

39 B. A licensee may contract for and receive periodic finance charges
40 on consumer revolving loans ~~and home equity revolving loans~~ that are not
41 more than the following amounts:

42 1. On consumer revolving loans with credit limits of ~~three thousand~~
43 ~~dollars or less~~ NOT MORE THAN \$10,000, a periodic rate corresponding to an
44 annual percentage rate of thirty-six ~~per cent~~ PERCENT on the outstanding
45 balance each monthly billing cycle.

1 2. On consumer revolving loans with credit limits of more than
2 ~~three thousand dollars and home equity revolving loans~~ \$10,000, either:

3 (a) A periodic rate corresponding to an annual percentage rate of
4 thirty-six ~~per cent~~ PERCENT on that portion of the outstanding balance
5 each monthly billing cycle that is not more than ~~three thousand dollars~~
6 \$10,000 and a periodic rate corresponding to an annual percentage rate of
7 twenty-four ~~per cent~~ PERCENT on that portion of the outstanding balance
8 each monthly billing cycle that is more than ~~three thousand dollars~~
9 \$10,000.

10 (b) A periodic rate corresponding to the single blended annual
11 percentage rate that would result in a periodic finance charge during a
12 monthly billing cycle that is not more than the finance charges that
13 result from the application of the multiple periodic rates authorized by
14 subdivision (a) of this paragraph.

15 C. A licensee may charge a fixed or variable rate of periodic
16 finance charges on a consumer revolving loan ~~or a home equity revolving~~
17 ~~loan~~, as provided by the agreement that establishes the consumer revolving
18 loan ~~or home equity revolving loan~~. The licensee shall not base a
19 variable rate of periodic finance charges on an index that is under the
20 control of the licensee. Unless the consumer can readily verify the index
21 on which an adjustment in the rate of periodic finance charges is based,
22 the licensee shall provide conspicuous notice of the rate adjustment at
23 least one monthly billing cycle before the effective date of the rate
24 adjustment. The licensee may include a rate adjustment notice on or with
25 a periodic statement to the consumer. The corresponding annual percentage
26 rate of periodic finance charges may not increase or decrease more than
27 three percentage points in any period of twelve consecutive months, and
28 the corresponding annual percentage rate of periodic finance charges may
29 not increase or decrease more than seven percentage points above or below
30 the initial annual percentage rate of periodic finance charges at the time
31 the consumer revolving loan ~~or home equity revolving loan~~ is established.

32 D. Except as ~~permitted~~ ALLOWED by subsection E of this section,
33 prepaid finance charges commonly referred to as points are prohibited.

34 E. In addition to the finance charges authorized in subsections A,
35 B and C of this section, a licensee may contract for and receive, and
36 collect finance charges on, nonrefundable prepaid finance charges or fees
37 commonly referred to as points in an amount of not more than ~~—~~

38 ~~1. four~~ ~~per cent~~ PERCENT of the original principal amount of a
39 consumer loan of at least ~~five thousand dollars~~ \$5,000 secured by the
40 consumer's principal residence.

41 ~~2. Four per cent of the agreed on credit limit of a home equity~~
42 ~~revolving loan.~~

43 F. If a consumer loan, ~~OR~~ consumer revolving loan ~~or home equity~~
44 ~~revolving loan~~ is in existence before ~~the effective date of this amendment~~
45 ~~to this section~~ JULY 24, 2014 and is modified or restructured after ~~the~~
46 ~~effective date of this amendment to this section~~ JULY 24, 2014 and the

1 total new cash advances do not exceed ~~one hundred dollars~~ \$100, a licensee
2 may not contract for and receive periodic finance charges at an annual
3 percentage rate that is higher than the annual percentage rate that
4 existed before ~~the effective date of this amendment to this section~~
5 JULY 24, 2014.

6 Sec. 8. Section 6-633, Arizona Revised Statutes, is amended to
7 read:

8 6-633. Computation of finance charges

9 A. A licensee shall compute and measure finance charges on consumer
10 loans on unpaid balances outstanding from time to time. A licensee may
11 also precompute finance charges on consumer loans on scheduled unpaid
12 principal balances as provided in section 6-634. ~~For the purposes of~~
13 ~~computing~~ TO COMPUTE finance charges on consumer loans that are not
14 precomputed, a licensee may calculate the finance charges on an annual
15 basis of twelve months of thirty days each month or on a daily basis if a
16 day is counted either as 1/360th, 1/365th or 1/366th of a year, as the
17 licensee and consumer may agree in writing.

18 B. A licensee shall compute periodic finance charges on consumer
19 revolving loans ~~or home equity revolving loans~~ on the unpaid balance of
20 the consumer revolving loan ~~or home equity revolving loan~~ by either of the
21 following methods:

22 1. By multiplying the daily periodic rate by the actual unpaid
23 balance of the consumer revolving loan ~~or home equity revolving loan~~ each
24 day during the billing cycle period. The daily periodic rate ~~shall be~~ IS
25 determined by dividing the annual percentage rate by three hundred
26 sixty-five.

27 2. By multiplying the monthly periodic rate by the average daily
28 balance of the consumer revolving loan ~~or home equity revolving loan~~
29 during the billing cycle. The average daily balance is the sum of the
30 unpaid balances of the consumer revolving loan ~~or home equity revolving~~
31 ~~loan~~ each day during the billing cycle period divided by the number of
32 days in the billing cycle period. The monthly periodic rate is determined
33 by dividing the annual percentage rate by twelve. The unpaid balance on
34 any day is determined by adding to any balance unpaid as of the beginning
35 of that day all advances and allowed additional fees and deducting all
36 payments and other credits to the consumer revolving loan ~~or home equity~~
37 ~~revolving loan~~ that day.

38 C. A licensee may compute finance charges only on the unpaid
39 principal balance, allowed additional fees and prepaid finance charges. A
40 licensee shall not compound finance charges. Precomputation of the
41 finance charges on a consumer loan does not constitute compounding of
42 finance charges.

43 D. If part or all of the principal of a consumer loan is the unpaid
44 principal balance of a prior precomputed consumer loan, the principal
45 amount payable under such consumer loan may include any unpaid finance

1 charges on the prior loan that have accrued within sixty days before the
2 making of that consumer loan.

3 Sec. 9. Section 6-635, Arizona Revised Statutes, is amended to
4 read:

5 6-635. Other allowable fees; annual reporting

6 A. In addition to the finance charges authorized by section 6-632,
7 a licensee may contract for and receive, and collect finance charges on,
8 the following fees:

9 1. A delinquency charge in an amount equal to five percent of the
10 amount of any installment not paid in full within seven days after its due
11 date.

12 2. The actual costs of charges that are paid to a third party who
13 is not an employee of the licensee and that are incurred in making
14 consumer lender loans secured in whole or in part by real property,
15 including the charges for a preliminary title search, title examination
16 and report, title insurance premiums, property survey and appraisal fees.

17 3. Lawful fees for the acknowledging, filing and recording,
18 continuing or releasing in any public office of any instrument or
19 financing statement evidencing or perfecting a lien or security interest
20 in real or personal property securing a consumer lender loan or the
21 premiums paid for insurance in lieu of filing or recording that shall not
22 exceed the filing or recording fee.

23 4. A loan origination fee of not more than five percent of a closed
24 end consumer loan or the agreed credit limit of a consumer revolving loan
25 but in no event in an amount that is more than ~~\$150~~ \$300. A licensee
26 shall not charge a loan origination fee:

27 (a) For the refinancing of a closed end consumer loan or the
28 renegotiating of an agreed credit limit of a consumer revolving loan if
29 the refinancing or renegotiating occurs within one year of the collection
30 of a prior loan origination fee.

31 (b) If the licensee charges prepaid finance charges pursuant to
32 section 6-632, subsection E, ~~paragraph 1~~.

33 5. Deferral fees authorized in section 6-634 for precomputed
34 consumer loans.

35 6. Insurance premiums as provided in section 6-636.

36 7. Court costs.

37 8. Reasonable attorney fees if the consumer lender loan is referred
38 for collection to an attorney other than a salaried employee of the
39 licensee.

40 9. Costs, expenses and fees authorized in section 33-813,
41 subsection B for reinstatement of a deed of trust encumbering real
42 property that secures a consumer lender loan.

43 10. Costs and expenses of exercising the power of sale in a deed of
44 trust encumbering real property that secures a consumer lender loan and
45 costs and expenses of a sale that are included in a credit bid or that are
46 applied from the proceeds of a trustee's sale pursuant to section 33-812,

1 including the payment of trustee fees and reasonable attorney fees
2 actually incurred.

3 11. Costs and expenses of retaking, holding, preparing for sale and
4 selling any personal property in accordance with title 47, chapter 9,
5 article 6.

6 12. THE COST OF THE GUARANTEED ASSET PROTECTION WAIVER AS DEFINED
7 IN SECTION 20-103.

8 B. If a licensee receives a check, draft, negotiable order of
9 withdrawal or similar instrument drawn on a depository institution that is
10 offered by a consumer in full or partial payment on a consumer lender loan
11 and the instrument is not paid or is dishonored by the depository
12 institution, the licensee may charge and collect from the consumer a
13 dishonored check service fee pursuant to section 44-6852.

14 C. In addition to the finance charges and fees provided in this
15 article, the licensee shall not directly or indirectly charge, contract
16 for or receive any further or other amount in connection with a consumer
17 lender loan.

18 D. In conjunction with the reporting requirements prescribed in
19 section 6-609, on or before October 1 each year, a licensee shall report
20 to the deputy director the number of closed end consumer loans and
21 consumer revolving loans under \$1,000 made in the prior two years.

22 Sec. 10. Section 6-636, Arizona Revised Statutes, is amended to
23 read:

24 6-636. Insurance securing loan; cancellation; notice

25 A. The following types of insurance may be sold to the consumer in
26 connection with a consumer lender loan and the consumer may contract for:

27 1. Property insurance, covering any property securing a consumer
28 lender loan.

29 2. Life insurance insuring the life of one or more consumers
30 obligated on a consumer lender loan.

31 3. Credit disability insurance that provides indemnity for payments
32 due on a consumer lender loan while any covered consumer has a disability.

33 4. Credit involuntary unemployment insurance that provides
34 indemnity for payments due on a consumer lender loan while one or more
35 consumers are involuntarily unemployed.

36 5. Accidental death and dismemberment insurance providing a benefit
37 if death occurs as a result of an accident or if dismemberment occurs.

38 6. Disability income protection insurance providing a benefit if a
39 total disability occurs during the term of insurance.

40 B. Any insurance purchased by a consumer from or through a
41 licensee, except insurance on property securing a consumer lender loan, is
42 optional, and a licensee shall not refuse to make a consumer lender loan
43 based on the consumer's refusal to purchase the insurance. The consumer
44 may cancel any insurance purchased in connection with a consumer lender
45 loan for any reason at any time within thirty days after the consumer
46 lender loan is made and shall mail or deliver a written notice of the

1 cancellation to the licensee's place of business. If the consumer cancels
2 the insurance pursuant to this subsection, the consumer is entitled to a
3 full refund of any premiums paid for the insurance. Before executing the
4 note or agreement evidencing a consumer lender loan that includes a
5 premium for insurance, the licensee shall give the consumer the
6 disclosures required to exclude those insurance premiums from the finance
7 charge in accordance with the truth in lending act.

8 C. At the time the insurance is sold the licensee ~~shall mail or~~
9 ~~deliver~~ PROVIDE a written receipt or binder to the consumer. Within
10 thirty days after ~~mailing or delivering~~ PROVIDE the written receipt or
11 binder, the licensee shall deliver to the consumer, or if more than one,
12 to any one of them, a policy or certificate of insurance covering any
13 insurance purchased by or through the licensee or any employee or
14 affiliate of the licensee in connection with the consumer lender loan that
15 sets forth the amount of any premium that the consumer has paid or is
16 obligated to pay, the amount of insurance, the term of insurance and a
17 description of the coverage. The policy or certificate may contain a
18 mortgagee clause or other appropriate provisions to protect the insurable
19 interest of the licensee.

20 D. All property insurance sold pursuant to this section shall bear
21 a reasonable bona fide relation to the existing hazard or risk of loss and
22 shall be written by an agent licensed in this state and by an insurance
23 company authorized to conduct property insurance business in this state.
24 A licensee shall not require the purchase of property insurance from the
25 licensee or any employee, affiliate or associate of the licensee as a
26 condition precedent to the making of a consumer lender loan. The licensee
27 may otherwise designate the company in which the insurance shall be placed
28 as long as the insurance company is authorized to conduct business in this
29 state.

30 E. Property insurance, if sold by a licensee in connection with a
31 consumer loan, is at the option of the consumer in an amount not ~~exceeding~~
32 MORE THAN the greater of the reasonable value of the property insured as
33 designated in writing by the consumer or the approximate amount of the
34 consumer loan and shall be for a term not exceeding the approximate term
35 of the consumer loan. However, the amount of this property insurance may
36 not exceed the designated value of the property insured.

37 F. If a licensee sells property insurance in connection with a
38 consumer revolving loan ~~or a home equity revolving loan~~, the amount of the
39 property insurance shall not exceed the greater of the reasonable value of
40 the property insured as designated in writing by the consumer or the
41 agreed on credit limit. However, the amount of property insurance shall
42 not exceed the designated value of the insured property. The licensee may
43 sell property insurance for renewable terms of not more than two years.
44 Alternatively, the amount of property insurance may be equal to the
45 balance outstanding on a consumer revolving loan ~~or a home equity~~
46 ~~revolving loan~~ from time to time with the premiums calculated on the basis

1 of the actual daily unpaid balance or the average daily balance of the
2 account during each billing cycle period. Premiums for property insurance
3 may be charged as an advance on a consumer revolving loan ~~or a home equity~~
4 ~~revolving loan~~.

5 G. If the licensee sells the consumer property insurance for a
6 renewable term, the licensee shall mail a notice to the consumer at least
7 thirty days before the renewal date that states all of the following:

8 1. The consumer's property insurance is about to expire.

9 2. The consumer may obtain property insurance from any source
10 chosen by the consumer subject to the licensee's right to reasonably
11 reject the insurer chosen by the consumer by providing written notice to
12 the consumer of those reasons for rejection.

13 3. The term, coverage and premium for the renewal of property
14 insurance.

15 4. The property insurance will be renewed on expiration unless the
16 consumer provides the licensee before the expiration date with evidence
17 that the consumer has obtained other property insurance.

18 H. Notwithstanding any other provision of this chapter, any
19 advantage, commission, dividend, gain or identifiable charge for insurance
20 authorized by this section, or otherwise, to the licensee or any employee
21 or affiliate of the licensee from that insurance or its sale is not an
22 additional finance charge or other allowed fee in connection with the
23 consumer lender loan. If the licensee provides a new consumer lender loan
24 or renews a contract of a consumer lender loan and the licensee sells the
25 consumer new insurance, the licensee shall apply the insurance provided
26 for in this section to the new loan or renewal, or the licensee shall
27 cancel the prior insurance and provide the consumer with a refund or
28 credit of the unearned premium or identifiable charge before selling the
29 new insurance to the consumer.

30 I. The licensee shall determine the refund of unearned premiums for
31 credit life insurance and credit disability insurance on prepayment in
32 full according to title 20, chapter 6, article 10.

33 J. Except as otherwise specifically provided in this chapter,
34 insurance transactions pursuant to this chapter are subject in all
35 respects to the applicable laws pertaining to that insurance pursuant to
36 title 20 and to the applicable rules adopted pursuant to title 20.

37 Sec. 11. Section 6-637, Arizona Revised Statutes, is amended to
38 read:

39 ~~6-637.~~ Term; payments

40 A. The scheduled term of a consumer loan shall not be longer than
41 the following:

42 1. Twenty-four months and fifteen days from the date of making a
43 consumer loan of ~~one thousand dollars or less~~ NOT MORE THAN \$1,000.

44 2. Thirty-six months and fifteen days from the date of making a
45 consumer loan of more than ~~one thousand dollars~~ \$1,000 but not more than
46 ~~two thousand five hundred dollars~~ \$2,500.

1 3. Forty-eight months and fifteen days from the date of making a
2 consumer loan of more than ~~two thousand five hundred dollars~~ \$2,500 but
3 not more than ~~four thousand dollars~~ \$4,000.

4 4. Sixty months and fifteen days from the date of making a consumer
5 loan of more than ~~four thousand dollars~~ \$4,000 but not more than
6 ~~six thousand dollars~~ \$6,000.

7 5. Any agreed on time period for a consumer loan of more than
8 ~~six thousand dollars~~ \$6,000.

9 B. The note evidencing a consumer loan shall provide for the
10 scheduled repayment of principal and finance charges in approximately
11 equal periodic installments.

12 C. Pursuant to the provisions of 12 United States Code section
13 3804, subsections A and B of this section shall not be superseded by the
14 provisions of 12 United States Code section 3803.

15 D. Balloon payments, prepayment penalties, call options and other
16 contract provisions that permit a consumer lender to accelerate payment of
17 a consumer revolving loan ~~or home equity revolving loan~~ for any reason
18 other than the consumer's default as provided in the agreement evidencing
19 the consumer revolving loan ~~or home equity revolving loan~~ are prohibited,
20 except that a licensee may include a call option to be exercised at least
21 fifteen years after the date of the agreement. If the licensee exercises
22 this call option and the consumer revolving loan ~~or home equity revolving~~
23 ~~loan~~ is not in default, the licensee shall amortize the amount due on the
24 account over at least sixty monthly installments.

25 E. Except as provided in subsection D of this section, an agreement
26 evidencing a consumer revolving loan ~~or home equity revolving loan~~ shall
27 provide that on termination of the right to obtain advances the
28 outstanding principal balance and finance charges at the time of
29 termination of the right to obtain advances are repayable in installments
30 if a consumer is not in default as provided in the agreement. These
31 installments shall provide for the scheduled repayment of principal and
32 finance charges in approximately equal periodic installments except as a
33 result of an adjustment in the index on which a variable rate of periodic
34 finance charges is based. These installments are payable within the
35 following time limits:

36 1. Twenty-four months and fifteen days from the date of termination
37 of the right to obtain advances for an outstanding principal balance on
38 that date of ~~one thousand dollars or less~~ NOT MORE THAN \$1,000.

39 2. Thirty-six months and fifteen days from the date of termination
40 of the right to obtain advances for an outstanding principal balance on
41 that date that is more than ~~one thousand dollars~~ \$1,000 but not more than
42 ~~two thousand five hundred dollars~~ \$2,500.

43 3. Forty-eight months and fifteen days from the date of termination
44 of the right to obtain advances for an outstanding principal balance on
45 that date that is more than ~~two thousand five hundred dollars~~ \$2,500 but
46 not more than ~~four thousand dollars~~ \$4,000.

1 4. Sixty months and fifteen days from the date of termination of
2 the right to obtain advances for an outstanding principal balance on that
3 date that is more than ~~four thousand dollars~~ \$4,000 but not more than
4 ~~six thousand dollars~~ \$6,000.

5 5. Any agreed on time period for an outstanding principal balance
6 that is more than ~~six thousand dollars~~ \$6,000 on the date of termination
7 of the right to obtain advances.

8 F. A licensee shall permit a consumer to prepay any scheduled
9 installment or additional amount due on any consumer lender loan in
10 advance at any time during the licensee's regular business hours, but the
11 licensee may apply that prepayment first to all finance charges accrued
12 through the date of that prepayment.

13 G. On payment in full or renewal of a consumer lender loan, the
14 licensee shall provide written notice of payment and release to the
15 consumer, or if more than one consumer is obligated on the consumer lender
16 loan, to any one of the consumers. The notice of payment and release
17 shall include the date of the original note or agreement evidencing the
18 consumer lender loan and the date of payment in full. In lieu of the
19 notice of payment and release, the licensee may return the original note
20 or agreement evidencing the consumer lender loan marked paid or renewed,
21 as applicable. The licensee shall release any lien or security interest
22 on property securing a consumer lender loan that is paid in full as
23 provided in section 33-707 for real property and section 47-9513 for
24 personal property. This subsection does not apply to a consumer revolving
25 loan ~~or home equity revolving loan~~ on which there is no unpaid balance if
26 the consumer's right to receive advances on the account continues in
27 effect.

28 <<Sec. 12. Title 6, chapter 5, article 2, Arizona Revised Statutes,
29 is amended by adding section 6-640, to read:

30 6-640. Applicability; home equity revolving loan; licensure;
31 definition

32 [A. NOTWITHSTANDING SECTIONS 6-601, 6-602, 6-609, 6-613, 6-631,
33 6-632, 6-633, 6-635, 6-636 AND 6-637, ANY OUTSTANDING HOME EQUITY
34 REVOLVING LOAN MUST CONTINUE TO COMPLY WITH THE REQUIREMENTS OF THIS
35 CHAPTER THAT WERE IN EFFECT BEFORE JANUARY 1, 2027. EXCEPT AS PRESCRIBED
36 IN SUBSECTION B OF THIS SECTION, A LICENSED CONSUMER LENDER IS NOT
37 REQUIRED TO OBTAIN A LICENSE PURSUANT TO CHAPTER 9 OF THIS TITLE TO
38 CONTINUE TO SERVICE ANY HOME EQUITY REVOLVING LOAN.

39 B. ANY EXTENSION, AMENDMENT OR MODIFICATION TO A HOME EQUITY
40 REVOLVING LOAN SHALL COMPLY WITH THE REQUIREMENTS OF CHAPTER 9 OF THIS
41 TITLE. A LICENSED CONSUMER LENDER THAT SEEKS TO EXTEND, AMEND OR MODIFY A
42 HOME EQUITY REVOLVING LOAN ON OR AFTER JANUARY 1, 2027 SHALL APPLY FOR AND
43 OBTAIN AN APPROPRIATE LICENSE TO ISSUE A MORTGAGE LOAN PURSUANT TO CHAPTER
44 9 OF THIS TITLE.

1 C. FOR THE PURPOSES OF THIS SECTION, "HOME EQUITY REVOLVING LOAN"
2 MEANS AN OPEN END REVOLVING LOAN THAT IS MADE PURSUANT TO AN AGREEMENT
3 WITH AN AGREED-ON CREDIT LIMIT THAT IS NOT MORE THAN \$10,000, THAT IS
4 SECURED BY THE CONSUMER'S PRINCIPAL RESIDENCE AND THAT PROVIDES THAT
5 ADVANCES MAY BE OBTAINED FROM TIME TO TIME BY THE CONSUMER THROUGH CHECKS,
6 DRAFTS, ITEMS, CREDIT ACCESS DEVICES, ORDERS FOR THE PAYMENT OF MONEY,
7 EVIDENCES OF DEBT OR SIMILAR MEANS, WHETHER OR NOT NEGOTIABLE.]]>>

8 ~~<<Sec. 12. Section 41-5605, Arizona Revised Statutes, is amended to~~
9 ~~read:~~

10 ~~41-5605. Scope~~

11 ~~A. If the attorney general approves an application for entry into~~
12 ~~the regulatory sandbox, the applicant is deemed a sandbox participant and~~
13 ~~both of the following apply:~~

14 ~~1. The sandbox participant has twenty-four months after the date of~~
15 ~~approval to test the innovation described in the sandbox participant's~~
16 ~~application.~~

17 ~~2. The attorney general must issue the sandbox participant a~~
18 ~~registration number.~~

19 ~~B. Innovations tested within the regulatory sandbox are subject to~~
20 ~~the following restrictions:~~

21 ~~1. Consumers must be residents of this state, except for~~
22 ~~transactions that involve an innovation provided by a sandbox participant~~
23 ~~testing financial products or services as a money transmitter as defined~~
24 ~~in section 6-1241 or a related innovation, in which case only physical~~
25 ~~presence of the consumer in this state at the time of the transaction may~~
26 ~~be required.~~

27 ~~2. Except as provided in subsection C of this section or section~~
28 ~~41-5608, an innovation may not be tested with more than ten thousand~~
29 ~~consumers.~~

30 ~~3. For a sandbox participant testing consumer lender loans as~~
31 ~~defined in section 6-601, an individual consumer lender loan may be issued~~
32 ~~for up to \$15,000, except that aggregate loans per consumer may not exceed~~
33 ~~\$50,000. All consumer lender loans issued in the regulatory sandbox,~~
34 ~~including loans in excess of \$10,000 \$50,000, are subject to all of the~~
35 ~~following:~~

36 ~~(a) Section 6-114.~~

37 ~~(b) Section 6-632.~~

38 ~~(c) Section 6-635, subsections A, B and C.~~

39 ~~(d) Section 6-637.~~

40 ~~4. Except as provided in subsection C of this section, for a~~
41 ~~sandbox participant testing financial products or services as a money~~
42 ~~transmitter as defined in section 6-1241, individual transactions per~~
43 ~~consumer may not exceed \$2,500 and aggregate transactions per consumer may~~
44 ~~not exceed \$25,000.~~

1 ~~5. For sandbox participants testing financial products or services~~
2 ~~as a sales finance company as defined in section 44-281, all of the~~
3 ~~following apply:~~
4 ~~(a) Section 44-286.~~
5 ~~(b) Section 44-287, except subsection B, paragraph 8.~~
6 ~~(c) Section 44-288.~~
7 ~~(d) Section 44-289.~~
8 ~~(e) Section 44-290.~~
9 ~~(f) Section 44-291.~~
10 ~~(g) Section 44-293.~~
11 ~~(h) Section 47-9601.~~
12 ~~6. For sandbox participants testing financial products or services~~
13 ~~that provide investment management that is regulated pursuant to title 44,~~
14 ~~chapter 13:~~
15 ~~(a) Section 44-3241 applies.~~
16 ~~(b) The corporation commission rules adopted pursuant to title 44,~~
17 ~~chapter 13 apply as they relate to dishonest and unethical practices.~~
18 ~~C. If a sandbox participant demonstrates adequate financial~~
19 ~~capitalization, risk management process and management oversight, the~~
20 ~~attorney general may allow either or both of the following:~~
21 ~~1. Except as provided in section 41-5608, an innovation to not be~~
22 ~~tested with more than seventeen thousand five hundred consumers.~~
23 ~~2. For a sandbox participant testing products or services as a~~
24 ~~money transmitter as defined in section 6-1241, individual transactions~~
25 ~~per consumer that do not exceed \$15,000 and aggregate transactions per~~
26 ~~consumer that do not exceed \$50,000.~~
27 ~~D. This section does not restrict a sandbox participant who holds a~~
28 ~~license or other authorization in another jurisdiction from acting~~
29 ~~pursuant to and in accordance with that license or other authorization.~~
30 ~~E. A sandbox participant is deemed to possess an appropriate~~
31 ~~license under the laws of this state for purposes of any provision of~~
32 ~~federal law requiring state licensure or authorization.~~
33 ~~F. Except as otherwise provided in this chapter, a sandbox~~
34 ~~participant is not subject to state laws that establish requirements~~
35 ~~pursuant to a license or authorization issued by an applicable agency that~~
36 ~~otherwise would or may regulate an innovative financial product or~~
37 ~~service.~~
38 ~~G. The attorney general may determine that certain state laws that~~
39 ~~regulate a financial product or service or innovation apply to a sandbox~~
40 ~~participant. If the attorney general makes this determination and~~
41 ~~approves an application for entry into the regulatory sandbox, the~~
42 ~~attorney general must notify the sandbox participant of the specific state~~
43 ~~regulatory laws that will apply to the sandbox participant. Pursuant to~~
44 ~~section 41-5611, the attorney general alone shall enforce the state~~
45 ~~regulatory laws applicable to sandbox participants, including the~~
46 ~~restrictions established by this section.~~

1 ~~H. To the extent that a sandbox participant is required by this~~
2 ~~chapter to obtain, record, provide or maintain any information, writing,~~
3 ~~signature, record or disclosure, the sandbox participant may do so in~~
4 ~~electronic form, including as provided in section 44-7601, or may~~
5 ~~substitute any substantially similar equivalent information, writing,~~
6 ~~signature, record or disclosure that is approved by the attorney~~
7 ~~general.>>~~

8 Sec. 13. Applicability

9 This act applies to any contract or addendum entered into from and
10 after December 31, 2026.

11 Sec. 14. Effective date

12 Sections 6-601, [6-602, 6-606.] 6-609, 6-613, 6-631, [6-632.] 6-633,
13 [6-635.] 6-636 and 6-637, Arizona Revised Statutes, as amended by this
14 act, are effective from and after December 31, 2026.

15 Enroll and engross to conform

16 Amend title to conform

J.D. MESNARD

1689MESNARD.docx

02/13/2026

3:21 PM

C: SK

130QQGFTI